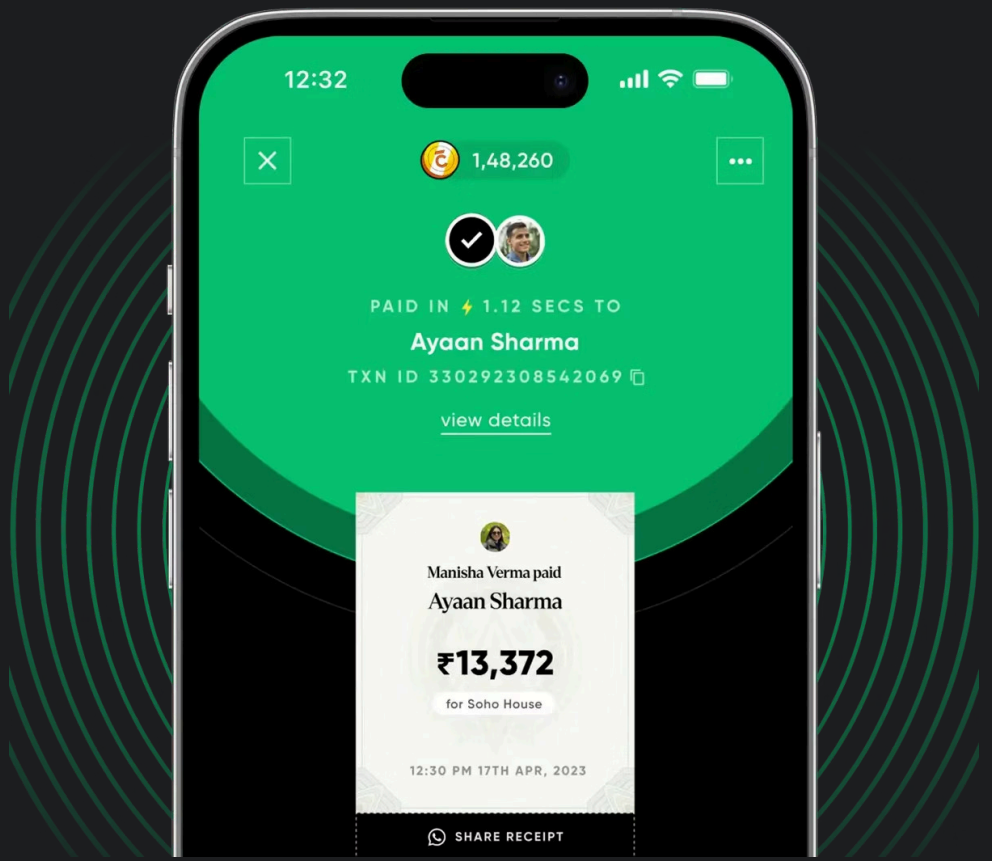
CRED Pay has a payments problem

It was never built to be a payments app. A product improvement case study on why CRED Pay isn't sticking - and a non-obvious fix that doubles down on what CRED already owns.



The Numbers Tell the Story

35M+

CRED Members

High-creditworthiness users with strong spending power

<8%

Pay DAU/MAU

Daily active users as percentage of monthly users

6+

Cards Per Member

Average credit cards held by each CRED member

0

UPI Credit Stack

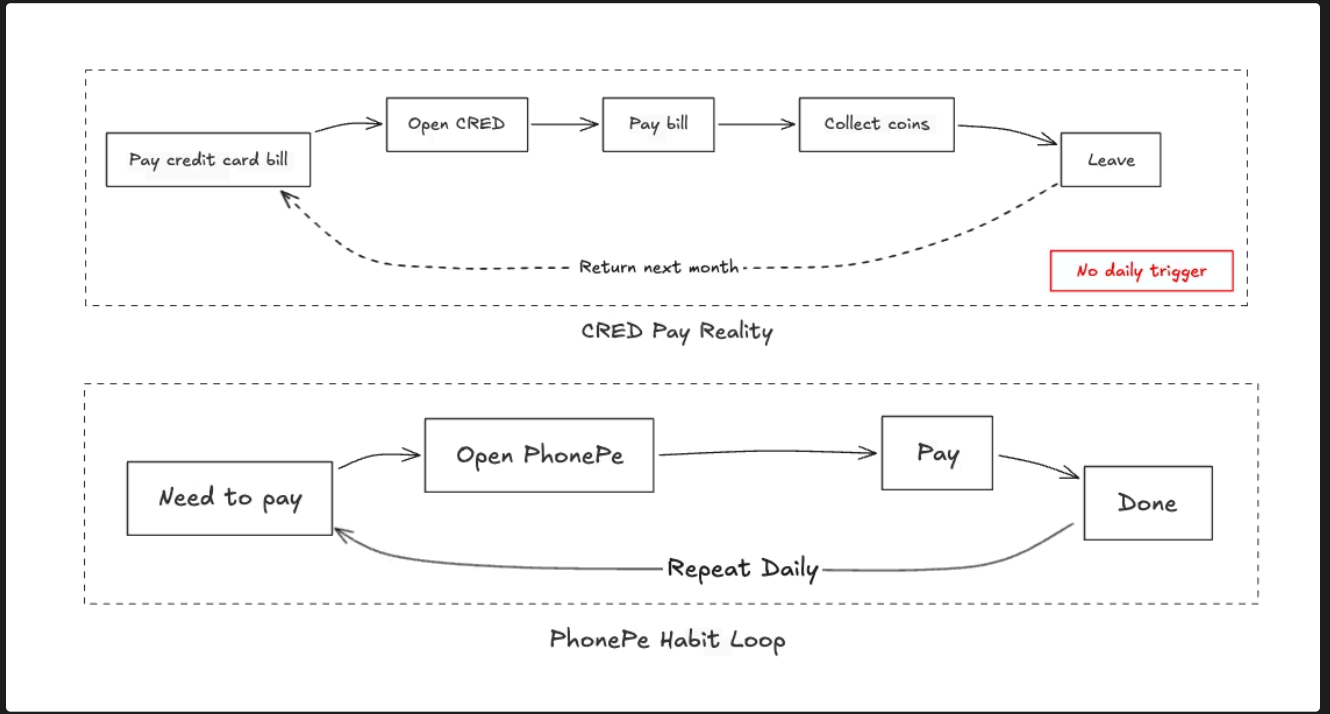
No UPI player owns the credit card layer

What Actually Happened

When CRED launched UPI payments, the pitch sounded clean: 35 million creditworthy users, even 20% daily transactions makes us a serious payments player. The math checked out on paper.

Reality was different. Users kept coming back once a month to pay credit card bills, collect coins, browse the store. Then they left. **CRED Pay sat in the app like a feature that showed up uninvited.**

PhonePe and GPay weren't competition. **Habit was.**



> "You don't beat a habit by building a better product. You beat it by giving people a reason to form a new one."

Three Reasons It Isn't Working

1

No Trigger, No Habit

Habits form around triggers. PhonePe's trigger is simple — you need to pay something, you open PhonePe. CRED Pay has no trigger because it has no unique context. The bill payment trigger is already owned by CRED's core flow.

2

Premium Brand, Commodity Transaction

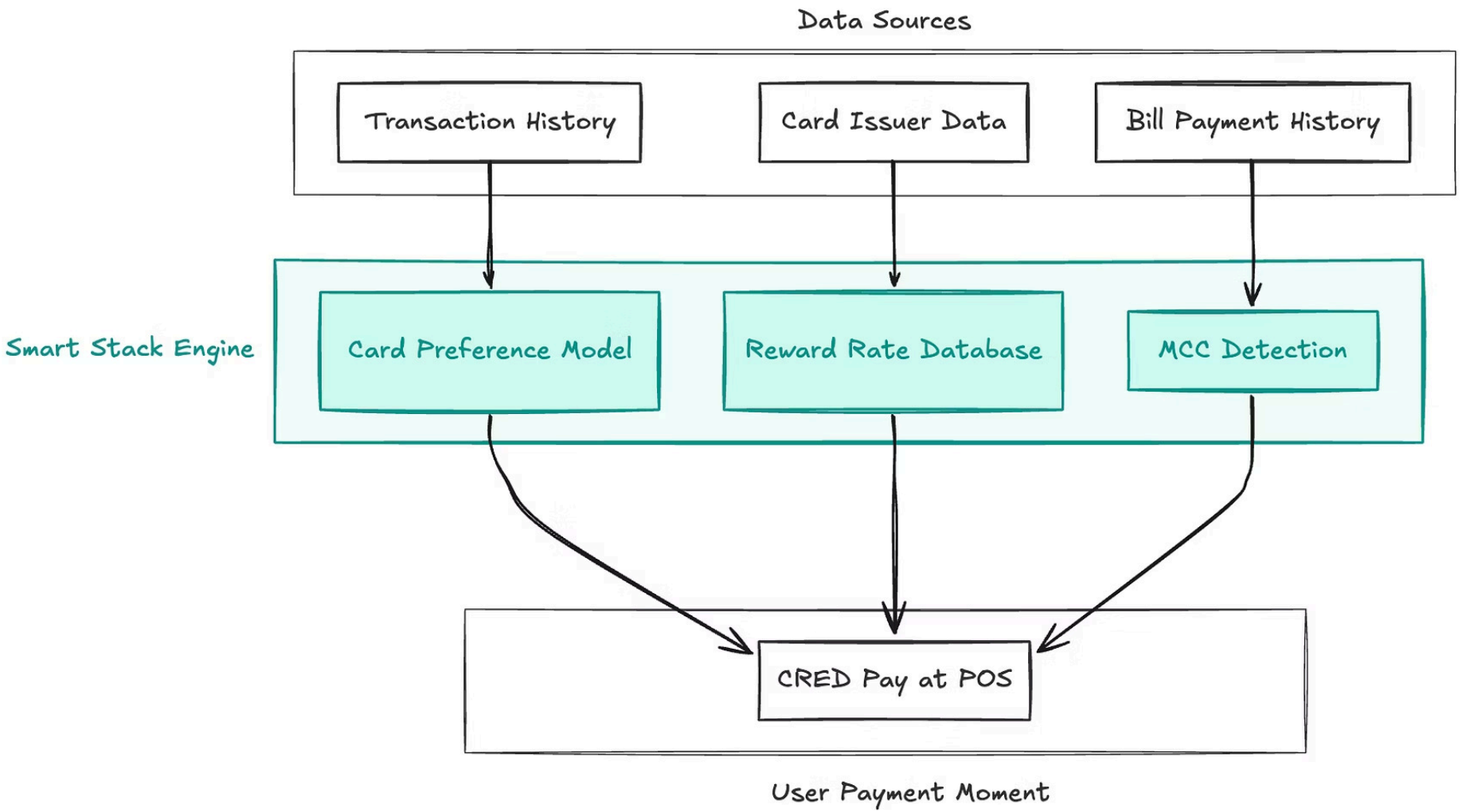
CRED spent years making users feel like members of something. At a QR code, that feeling is gone. The merchant doesn't care if you're a CRED member. The receipt looks the same. No identity signal in the act of paying.

3

Credit Cards Are Being Ignored

CRED's members hold millions of credit cards with different reward structures — 5x on dining, 2x on travel, accelerated points on fuel. Nobody actually knows which card to use where. CRED has all this data and is doing almost nothing with it.

The Credit Stack : Data Architecture





CRED doesn't need to win at UPI. It needs to own the credit layer above it.

Introducing: CRED Pay Smart Stack

Smart Stack is a credit-intelligent payment experience built into CRED Pay. When you open CRED Pay at any merchant, it surfaces your single best card for that transaction — with the exact reason why. No settings to configure. No research to do. **It just works.**

Merchant Category Detection

CRED Pay reads the merchant's MCC code and identifies the spend category — dining, travel, groceries, fuel

Reward Rate Matching

Calculates the reward rate each card earns at this merchant category in real time

Smart Recommendation

Shows single recommended card with clear reason: 'Your Axis Magnus earns 5x here. Others earn 1x.'

Monthly Savings Summary

Shows exactly how much extra value the member earned — in rupees, not points

Phased Rollout Strategy

Phase 1 — Smart Stack MVP

0-3 months

Launch card recommendation at point of payment for members with 2+ linked cards. Use existing bill payment card data + publicly available card reward structures. Ship to 20% of members as test.

Phase 3 — Spend Intelligence Layer

6-12 months

Build personal credit optimisation score. Monthly report on missed rewards, suboptimal card usage, and which card to apply for next based on spend pattern.



Phase 2 — Live Reward Tracking

3-6 months

Pull real-time available credit limit and active reward multipliers per card. Show running 'Smart Stack savings' counter. Partner with 2–3 card issuers to surface offers inside CRED Pay at checkout.

What This Gets Right and What It Risks

What Works

- Plays to CRED's unfair advantage — no other UPI app has the credit card data
- Creates a genuine habit trigger that PhonePe cannot copy
- Reinforces premium identity — every payment feels smarter
- Opens issuer partnership revenue without degrading user trust

What to Watch

- Reward rate data goes stale — accuracy is trust-critical, errors kill credibility
- Members with 1 card get less value — need a fallback experience
- RBI guidelines on credit card UPI linkage are still evolving
- Risk of over-engineering — the recommendation must stay dead simple

Measuring Success

How we know Smart Stack is working

CRED Pay DAU/MAU

North star metric. Primary signal of habit formation. Target: 8% → 22% within 6 months of full rollout.

Smart Stack Utilisation Rate

Supporting metric. % of CRED Pay transactions where the recommended card was used. Below 50% means the recommendation isn't trusted.

Transactions Per Active User

Supporting metric. Are users coming back more than once a week? This separates true habit from novelty usage.

Monthly Savings Per User

Supporting metric. The rupee value of rewards earned through Smart Stack. If this number is growing, users have a concrete reason to stay.

CRED Member NPS Delta

Guardrail metric. Smart Stack must not make CRED feel like a financial tool instead of a member experience. NPS drop signals we've crossed that line.

Scorecard: Where This Stands



90%

Defensibility

Only CRED has this data



80%

User Value

Real money, real moment



60%

Build Complexity

Data accuracy is hard



80%

Revenue Potential

Issuer partnerships unlock it



90%

Brand Fit

Makes premium tangible